

# Goji Community Platform, Concept Design (PL3)

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**Document:** PL3-01 Concept Design · **Version:** 1.0 (Draft) **Status:** For internal review. Contains open legal questions that gate launch. **Owner:** Goji Labs **Relationship to other lines:** Governs the parameters of PL2 (index tokens), which are powered by PL1 (the dynamic liquidity engine). PL3 does not execute trades. It sets and curates the rules within which PL1 operates.

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## 1. What this is, in one paragraph

The Goji Community Platform is a staked curation and governance layer that lets a verified community decide which sector indices exist, what their parameters are, and which pairings get funded, and funds those decisions in the same act. Participants stake USDC to propose and back suggestions. Voting weight is quadratic in the amount staked, so influence grows far slower than capital. Backing for winning proposals converts into transparent, claim bearing liquidity that launches the index it curated. Identity is established through KYC so that one human is one participant. The platform is explicitly not a vehicle for pooling capital to execute discretionary buys that move any Goji token's price. That is a hard, non overridable prohibition. See Section 6.

This is best classified as a token curated registry with liquidity bootstrapping, not a DAO. It is neither one person one vote nor autonomous. Calling it a DAO would misrepresent both its mechanics and its legal posture.

## 2. Problems it solves

1. Who decides which indices exist. A credible, Sybil resistant curation process instead of an internal team picking winners.
  2. Where new index liquidity comes from. The act of curating funds the launch, so governance capital does productive work instead of sitting idle.
  3. How to keep curation honest. Economic stake plus identity plus penalties for spam or malice, so gaming carries real cost.
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## 3. The two ideas that make it work, and why they need each other

| Idea                        | What it provides                                                      | Its weakness                               | Closed by           |
|-----------------------------|-----------------------------------------------------------------------|--------------------------------------------|---------------------|
| USDC staking to participate | Sybil resistance, capital efficiency, no speculative governance token | Capital weighting alone becomes plutocracy | Quadratic weighting |

| Idea                                                             | What it provides                                                                                         | Its weakness                           | Closed by             |
|------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------|----------------------------------------|-----------------------|
| Quadratic vote weight (votes scale with the square root of USDC) | Whales keep skin in the game but marginal dollars buy steeply less; small contributors matter per dollar | Vulnerable to wallet splitting (Sybil) | USDC staking plus KYC |

These are deliberately paired. Staking gives quadratic voting the Sybil resistance it needs. Quadratic voting gives staking the anti plutocracy property it lacks. KYC closes the residual wallet splitting gap. Removing any one of the three reopens a known failure mode. A working precedent is Bitcoin's quadratic community allocation pattern.

## 4. How it works (conceptual flow)

1. Identity. A participant completes KYC once. The verified identity is the unit of participation.
2. Propose. A participant stakes USDC to submit a suggestion (a new sector index, a constituent change, a parameter within allowed bounds).
3. Back and vote. Others stake USDC for or against. Each participant's vote weight on a proposal is the square root of the USDC committed, capped per identity.
4. Resolve. Proposals that clear the bar within the voting window pass. Others are rejected.
5. Fund. Backing on a winning proposal converts into protocol owned liquidity for the new index, and each backer receives a transparent, disclosed liquidity claim, a receipt that states exactly what they hold and on what terms.
6. Hand off. The index's approved parameters pass to PL1, which manages it autonomously within those bounds. The platform never executes trades.
7. Penalize. Spam or malicious proposals, per Section 5, are penalized. Stake is slashed or locked on worse terms rather than returned. Honest losing backers are made whole per the disclosed policy.

## 5. Governs the rules, not the trades

The single most important boundary in this design:

- The community sets meta parameters. Which sectors get an index, constituent eligibility, risk budget bounds, signal family selection, rebalance cadence ranges.
- PL1 executes autonomously within those bounds. Market speed rotation never goes through a vote. A 3 day horizon signal cannot wait for a governance cycle, and voters never hand pick individual trades.

Get this boundary wrong in one direction and the platform cannot react to markets. Wrong in the other and retail voters are operating a live trading desk. The line is fixed: vote on the policy envelope, never on the trade.

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## 6. Guardrails (non overridable by any vote)

These sit below governance. No proposal or vote can switch them off.

- No self price support. Pooled capital may never execute discretionary buys intended to move the price of Hanu or any Goji index token. This extends the PL1 invariants (never sell HANU, no direct HANU trades) to community capital. It is the highest risk lever in the whole product and it is closed by design.
  - Quadratic weight is mandatory. Vote weight is always the square root of stake, never linear.
  - Transparent claims only. Contributed capital that becomes liquidity always carries a disclosed, claim bearing receipt. No capital disappears into an undisclosed managed pool.
  - KYC required to propose, vote, or back.
  - Per identity caps on stake derived vote weight, to blunt residual whale dominance even under the square root.
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## 7. KYC, what it buys and what it costs

Buys: kills the multi wallet and Sybil attack on quadratic voting (one human, one identity), creates an audit trail, and makes every action attributable and the platform transparent.

Does not buy: it identifies a steering whale, it does not stop one. The anti plutocracy work is done by Section 3 and Section 6, not by KYC.

Costs (own them in the design): KYC plus pooled managed capital plus identity collection moves the platform unambiguously toward regulated financial activity, because identity collection is what funds and money services businesses do. It also creates obligations to custody personal data (GDPR and CCPA: storage, minimization, breach exposure, and the tension between a right to erasure and an immutable audit trail). These are reasons to engage counsel and a compliance and data protection design early, not reasons to skip KYC.

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## 8. Open legal questions (gate launch, route to counsel)

- OQ-L1. Is staked, non returnable USDC managed for gain a collective investment scheme or investment contract. Working assumption: likely yes. Design and disclose accordingly.
- OQ-L2. Does protocol owned liquidity with claim bearing receipts constitute a security offering, and what disclosures are required.

- OQ-L3. Does collecting and managing pooled capital plus KYC trigger fund registration, money services business, or money transmitter licensing, and in which jurisdictions.
  - OQ-L4. Personal data custody regime (GDPR and CCPA) and its conflict with an immutable onchain audit trail.
  - OQ-L5. Consent and consumer protection requirements for non returnable contributions. What must a participant be told, and how is informed consent recorded.
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## 9. Open design questions (for the PL3 Detailed Design)

- OQ-D1. Penalty mechanics. Exact slashing and lock terms for spam versus malice versus honest loss.
  - OQ-D2. The passing bar. Quorum, threshold, and voting window per proposal type.
  - OQ-D3. Per identity vote weight cap calibration.
  - OQ-D4. Protocol owned liquidity claim and receipt structure, redemption terms, and how returns, if any, accrue to backers.
  - OQ-D5. Conviction and time locking. Should longer commitment increase weight, and how.
  - OQ-D6. Separation of roles. Capital weighted for how much liquidity you provide versus quadratic for which suggestions win.
  - OQ-D7. KYC provider, data minimization architecture, and audit trail design.
  - OQ-D8. Appeals and dispute path for penalized proposals.
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## 10. Non-goals

- NG1. Not a DAO (neither autonomous nor one person one vote).
  - NG2. Not a price support mechanism for any Goji token. See Section 6.
  - NG3. Not a capital pool that voters can direct into discretionary asset buys.
  - NG4. Not a speculative governance token launch.
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### Sign-off checklist

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Section 6 guardrails confirmed as non overridable, especially no self price support.

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Quadratic weighting confirmed as the plutocracy fix, not non return, not capital weight.

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Section 8 legal questions routed to securities and data protection counsel before any Detailed Design build.

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OQ-D1 through OQ-D8 assigned for the PL3 Detailed Design.